

Quality of Earnings Analysis Report

Acme Industrial Supply Co.

Prepared for: Sample Buyer LP

Date: 12.31.2024

Industry: Industrial Distribution

Transaction: Buy-Side Quality of Earnings

Fiscal Year End: December

Generated using shepi - an AI-assisted analysis platform

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This report presents a comprehensive Quality of Earnings analysis for Acme Industrial Supply Co..

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Engagement Overview

This Quality of Earnings report provides an independent analysis of the historical financial performance and condition of Acme Industrial Supply Co.. The analysis covers the key financial metrics, adjustments to reported earnings, and assessment of the sustainability of earnings.

COMPANY DETAILS

Target Company	Acme Industrial Supply Co.
Client	Sample Buyer LP
Industry	Industrial Distribution
Transaction Type	Buy-Side Quality of Earnings
Fiscal Year End	December
Report Date	12.31.2024

Important Disclaimers

This Quality of Earnings report has been prepared solely for the use of the intended recipient in connection with the proposed transaction involving Acme Industrial Supply Co.. This report is confidential and may not be distributed to any third party without prior written consent.

The analysis presented herein is based on financial information provided by the Company and its representatives. We have not independently verified the accuracy or completeness of such information. Our procedures do not constitute an audit, review, or compilation of financial statements in accordance with generally accepted auditing standards.

This report is not intended to be, and should not be, relied upon for tax, legal, or investment advice. The recipient should consult with their own professional advisors regarding tax, legal, and financial matters related to the proposed transaction.

Forward-looking statements and projections contained in this report are based on assumptions and estimates that are inherently uncertain. Actual results may differ materially from those projected. We make no representation or warranty regarding the achievability of any projected results.

Our analysis includes adjustments to reported earnings that reflect our professional judgment regarding the nature, frequency, and sustainability of certain items. These adjustments are presented for informational purposes and may differ from adjustments that would be determined by other parties.

The scope and reliability of this analysis are directly dependent on the documents and data provided. Sections of this report may be limited or omitted where supporting documentation was not available. A complete list of documents provided is included in the Data Sources appendix.

This report was generated using AI-assisted analytical tools. It has not been prepared, reviewed, or certified by a licensed Certified Public Accountant (CPA), auditor, or other credentialed financial professional. The methodologies employed are automated and pattern-based.

Analysis Methodology: Financial data was uploaded by the report preparer and processed using automated normalization, trend analysis, and adjustment identification algorithms. AI models were used to suggest potential adjustments, which were reviewed and accepted or modified by the preparer. All figures in this report reflect the preparer's final selections.

If this report is shared with or relied upon by any third party, including but not limited to lenders, investors, or regulatory bodies, such reliance is at the sole risk of the recipient. The preparer and the platform provider accept no liability for any decisions made or actions taken by third parties based on the contents of this report.

Key Terms & Definitions

TERM	DEFINITION
FY	Fiscal Year - the 12-month accounting period used by the Company
LTM	Last Twelve Months - trailing 12-month period ending on the most recent reporting date
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization
Adjusted EBITDA	EBITDA adjusted for non-recurring, non-operational, and owner-related items
QoE	Quality of Earnings - analysis of the sustainability and accuracy of reported earnings
COGS	Cost of Goods Sold - direct costs attributable to production of goods or services
SG&A	Selling, General & Administrative - operating expenses not directly tied to production
NWC	Net Working Capital - current assets minus current liabilities, excluding cash and debt
DSO	Days Sales Outstanding - average number of days to collect receivables
DPO	Days Payable Outstanding - average number of days to pay suppliers



Attention Areas

Key Findings & Risk Assessment

Key Findings & Risk Assessment

Officer Salary Normalization

Officer Salary Normalization - \$360,000

Next: Review supporting documentation and confirm classification with management.

EBITDA ^ \$360,000
HIGH PRIORITY

One-Time Legal Settlement

One-Time Legal Settlement - \$185,000

Next: Review supporting documentation and confirm classification with management.

EBITDA ^ \$185,000
HIGH PRIORITY

Pro Forma Market Rent

Pro Forma Market Rent - (\$54,000)

Next: Review supporting documentation and confirm classification with management.

EBITDA v (\$54,000)
MEDIUM PRIORITY

Attention Areas - Analyst Commentary

Officer Salary Normalization

The company recorded officer compensation that exceeds market rates for comparable roles. Normalizing officer salaries to industry-standard levels results in a \$360,000 positive adjustment to EBITDA. This adjustment reflects the difference between actual officer compensation paid during the period and the replacement cost of equivalent management talent at prevailing market rates.

Recommendation:

Verify the composition of officer compensation, including base salary, bonuses, and benefits, and confirm that the normalized salary figure reflects realistic replacement costs for the specific roles and geographic market. Ensure that any deferred compensation, equity arrangements, or employment agreements that may affect post-close compensation structure are identified and accounted for in the purchase price allocation.

One-Time Legal Settlement

The financial results include a \$185,000 legal settlement expense that is non-recurring in nature. This item has been added back to EBITDA as a one-time cost. The settlement represents a discrete event that is not expected to recur in future periods and does not reflect ongoing operating performance.

Recommendation:

Obtain and review the settlement agreement, related litigation documents, and any correspondence with legal counsel to confirm the matter is fully resolved with no residual liability or ongoing obligations. Assess whether the underlying issue that gave rise to the settlement indicates systemic operational, compliance, or contractual weaknesses that could result in similar future exposures.

Pro Forma Market Rent

The company currently operates in premises at below-market rent, resulting in a \$54,000 negative EBITDA adjustment when rent is normalized to prevailing market rates. This adjustment reflects the incremental cost that would be incurred if the company paid fair market value for comparable space in the current location.

Recommendation:

Review the existing lease agreement to understand the term, renewal options, rent escalation clauses, and any relationship between the landlord and the seller that may have enabled favorable pricing. Confirm the market rent analysis is based on recent comparable lease transactions in the same submarket and assess the risk that rent will reset to market upon lease expiration or change of control.



Quality of Earnings Analysis

EBITDA Bridge & Adjustment Detail

QoE Executive Summary - LTM Metrics

Revenue \$5,684,593	Gross Profit \$2,581,129	Net Income \$1,531,309
Reported EBITDA \$1,814,916	Total QoE Adjustments \$102,000	Adjusted EBITDA \$1,916,916

3 adjustment(s) identified

Due Diligence Adjustments

ADJUSTMENTS		NET IMPACT	VERIFIED
3		\$491,000	0 / 3
MA	Officer Salary Normalization		\$360,000
	Officer Salary Normalization - \$360,000		
DD	One-Time Legal Settlement		\$185,000
	One-Time Legal Settlement - \$185,000		
PF	Pro Forma Market Rent		(\$54,000)
	Pro Forma Market Rent - (\$54,000)		

Adjustment Traceability - Items 1-3 of 3

Officer Salary Normalization Source: Manual Entry	Block: MA	\$360,000
One-Time Legal Settlement Source: AI Discovery ()	Block: DD	\$185,000
Pro Forma Market Rent Source: AI Discovery ()	Block: PF	(\$54,000)

Key Financial Ratios - LTM

Profitability

Gross Margin	45.4%
Operating Margin	21.9%
EBITDA Margin	33.7%
Net Profit Margin	26.9%
ROA	26.6%
ROE	30.9%

Liquidity

Current Ratio	18.51x
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Efficiency

DSO	50 days
DPO	0 days
Asset Turnover	0.99x

Leverage

Debt/Equity	0.15x
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Income Statement Analysis

Revenue, COGS & Operating Expenses

Payroll Analysis

Payroll & Related	Acct #	FS Line	Sub-...	FY 22	FY 23	FY 24	LTM ...	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22
Payroll & Related - reported													
Officer Salaries	3100	Payro...	Offic...	\$300,000	\$300,000	\$300,000	\$300,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000
Wages & Salaries	3200	Payro...	Wages	\$360,000	\$372,000	\$384,000	\$384,000	\$30,000	\$30,000	\$30,000	\$30,000	\$30,000	\$30,000
Payroll Taxes	3300	Payro...	Payro...	\$52,800	\$53,760	\$54,720	\$54,720	\$4,400	\$4,400	\$4,400	\$4,400	\$4,400	\$4,400
Total Payroll & Related				\$712,800	\$725,760	\$738,720	\$738,720	\$59,400	\$59,400	\$59,400	\$59,400	\$59,400	\$59,400
% of Revenue													
Officer Salaries				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Wages & Salaries				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Payroll Taxes				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Total Payroll as % of Revenue				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0

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Balance Sheet Analysis

Assets, Liabilities & Working Capital



Supplementary Analysis

Proof of Cash, Concentration & AI Findings

VI

AI-Powered Analysis

Flagged Transactions & Pattern Detection

Flagged Transactions

Description	Account	Amount	Flag Type	Date	Category
Owner personal expense - golf cl...	Travel & Entert...	\$8,500	adjustment_cand...	2024-06-15	adjustment_cand...
Related-party rent payment above...	Rent Expense	\$24,000	related_party	2024-09-01	adjustment_cand...
One-time legal settlement	Legal & Profess...	\$45,000	adjustment_cand...	2024-03-22	adjustment_cand...
Unusual round-dollar journal entry	Other Income	\$50,000	unusual_transac...	2024-12-31	risk_flag

GL / Journal Entry Analysis

General Ledger Findings

- * **Manual journal entries concentrated near period-end**
12 manual entries totaling \$187K were posted in the final 5 days of Q4 2024, materially above the trailing...
- * **Round-dollar transactions above threshold**
9 transactions of exactly \$10,000 or \$25,000 were identified across operating expense accounts. Review supp...
- * **Reversing entries lacking documentation**
3 reversing journal entries totaling \$62K had no narrative or attached support.